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Case Number: BC478744 Hearing Date: July 22, 2026 Dept: 732

Ray W. Exley v. Barry Harlan, et al.

Wednesday, July 22, 2026

CASE NUMBER: BC478744

OPPOSED

Cross-Defendant Kaplan Kenegos and Kadin's Demurrer to the First Amended Cross-Complaint of Evan B. Schenkel, a Professional Law Corporation

Keenan Brown's Motion to be Substituted for Decedent Ray W. Exley

Michael Millward, Administrator of the Estate of Plaintiff and Cross-Defendant Ray W. Exley's Motion to Set Aside Default

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Facts: This is a legal malpractice action. The Second Amended Complaint (SAC) alleges as follows. Plaintiff Ray W. Exley (Plaintiff) employed Defendant Evan E (Schenkel) to represent him in a marital dissolution action. (SAC ¶ 8.) Schenkel unreasonably overbilled Plaintiff and was negligent in his representation, failing to allege appropriate claims or conduct adequate discovery. (SAC ¶¶¿10–25.)

Plaintiff also employed Defendants Barry Harlan (Harlan) and the firm Lewitt, Hackman, Shapiro, Marshall, & Harlan (LHSMH) to represent him in the dissolution action and a concurrent civil action against Plaintiff's ex-wife. (SAC ¶ 26.) Harlan and LHSMH negligently represented Plaintiff in the civil and dissolution action by failing to allege appropriate claims and failing to conduct adequate discovery. (SAC ¶¶ 27–28.)

Schenkel's First Amended Cross-Complaint (FAXC) alleges that Plaintiff has failed to pay amounts owed for services rendered. (FAXC at p. 6.) Plaintiff has converted funds upon which Schenkel had a valid attorney lien. (FAXC at pp. 15–16.)

Although Plaintiff obtained a court order allowing for the receipt of such funds, obtained with the wrongful assistance of his current counsel, Kaplan, Kenegos & Kadin (Kaplan), such order was obtained by fraud and was a deliberate interference with Schenkel's contract rights. (FAXC at pp. 16–19.)

LHSMH's Cross-Complaint (XC) alleges that Plaintiff has breached a contract to pay fees owed for services rendered. (XC at p. 2.)

Procedural History: Plaintiff filed the initial Complaint on February 10, 2012. He filed an FAC on October 3, 2012, and filed the SAC on September 5, 2013, alleging six causes of action:

Breach of Fiduciary Duty (Schenkel)

Legal Malpractice (Schenkel)

Legal Malpractice (Harlan, LHSMH)

Breach of Written Contract (LHSMH)

Breach of Oral Contract (Harlan, LHSMH)

Declaratory Relief (Schenkel)

LHSMH filed a Cross-Complaint on August 9, 2012, alleging four causes of action:

Breach of Contract

Open Book Account

Account Stated

Common Counts

Schenkel filed a Cross-Complaint on November 8, 2013,alleging 11 causes of action:

Breach of Contract

Open Book Account

Account Stated

Services and Materials

Declaratory Relief

Enforcement of Attorney Lien

Money Had and Received

Conversion

Constructive Trust

Declaratory Relief

Intentional Interference with Contract

On July 1, 2014, the court denied Schenkel's anti-SLAPP motion, overruled Schenkel's demurrer to the SAC, and sustained Exley and sustained Kaplan and Exley's demurrer to Schenkel's cross-complaint as to the fifth through tenth causes of action, with leave to amend.

Schenkel filed the FAXC on February 17, 2015, alleging the same causes of action as the original complaint.

On March 26, 2015, this case was stayed pending the appeal of the underlying action and trial in a related federal court action.

On March 29, 2017, Plaintiff dismissed claims as to Harlan.

On August 11, 2021, this court denied Juliana M. Loza Exley's motion to be substituted as Plaintiff's successor in interest, without prejudice.

On February 16, 2023, at an OSC re: dismissal for failure to obtain administrator of estate, this court ordered Plaintiff's complaint dismissed.

On July 27, 2023, this court denied Loza-Exley's second motion to be a substituted as Plaintiff's successor in interest, reasoning that she had not secured appointment of an estate administrator and had not explained the delay. On the same date, the court entered Plaintiff's default.

On September 5, 2023, Loza-Exley filed a notice of bankruptcy stay.

On May 30, 2024, the bankruptcy stay was lifted.

Michael Millward, administrator of Exley's estate, filed the present motion to set aside default on September 10, 2024. Schenkel filed an opposition on September 30, 2024. Millward filed a reply on October 4, 2024.

This court on October 11, 2024, continued hearing on the motion to vacate default to permit the filing of a motion to substitute successor in interest for Exley.

Keenan Brown filed the present motion to be substituted in place of deceased Cross-Defendant Exley on March 11, 2026. No opposition has been filed.

Cross-Defendant Kaplan filed the present demurrer to Schenkel's SAXC on September 13, 2024. Schenkel filed an opposition on March 23, 2026. Kaplan filed a reply on March 27, 2026.

This court on April 6, 2026, this court continued the hearings on the present demurrer, motion to vacate default, and motion to substitute in as plaintiff.

The parties filed a joint status report on July 10, 2026.

Analysis:

DEMURRER

A demurrer should be sustained only where the defects appear on the face of the pleading or are judicially noticed. (Code Civ. Pro., §§ 430.30, et seq.) In particular, as is relevant here, a court should sustain a demurrer if a complaint does not allege facts that are legally sufficient to constitute a cause of action.¿(See id.¿§ 430.10, subd. (e).) As the Supreme Court held in Blank v. Kirwan (1985) 39 Cal.3d 311: "We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law. . . . Further, we give the complaint a reasonable interpretation, reading it as a whole and its parts in their context."¿(Id. at p. 318; see also Hahn. v. Mirda (2007) 147 Cal.App.4th 740, 747 ["A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. [Citation.]")

"In determining whether the complaint is sufficient as against the demurrer … if on consideration of all the facts stated it appears the plaintiff is entitled to any relief at the hands of the court against the defendants the complaint will be held good although the facts may not be clearly stated." (Gressley v. Williams (1961) 193 Cal.App.2d 636, 639.)

"A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (Khoury v. Maly's of Cal., Inc. (1993) 14 Cal.App.4th 612, 616.) Such demurrers "are disfavored, and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond." (Mahan v. Charles W. Chan Insurance Agency, Inc. (2017) 14 Cal.App.5th 841, 848.)

A demurrer should not be sustained without leave to amend if the complaint, liberally construed, can state a cause of action under any theory or if there is a reasonable possibility the defect can be cured by amendment. (Schifando v. City of Los Angeles, supra, 31 Cal.4th at p. 1081.) The demurrer also may be sustained without leave to amend where the nature of the defects and previous unsuccessful attempts to plead render it probable plaintiff cannot state a cause of action. (Krawitz v. Rusch (1989) 209 Cal.App.3d 957, 967.)

Cross-Defendant Kaplan, Kenegos, and Kadin ("Kaplan") demurrers to the fifth, eighth, and eleventh causes of action asserted against it in the First Amended Cross-Complaint ("FAXC") of Defendant and Cross-Complainant Evan B. Schenkel, a Professional Law Corporation ("Schenkel"). Schenkel alleges that Kaplan misappropriated a recovery obtained in a prior action by their mutual client, Plaintiff Ray Exley M.D. ("Exley"), constituting the proceeds of the sale of a painting in Exley's marital estate. (FAXC at p. 10.) Kaplan argues that in fact Exley obtained no recovery to which Schenkel's lien was subject.

(Demurrer at pp. 3–8.)

Kaplan relies substantially upon the court's prior ruling on Kaplan's prior demurrer to Schenkel's original Cross-Complaint. That ruling, issued on July 1, 2014, before the first of many stays and continuances in this matter, stated as follows in pertinent part:

he Kaplan firm's demurrer to the fifth cause of action for a declaration that Schenkel has a lien on that part of the proceeds of the sale of the Two Heads painting that have been paid to the Kaplan firm is sustained. Schenkel's lien in Civil Case No. BC423736 has no value because according to the facts alleged, and the Request for Judicial Notice, plaintiff Exley dismissed that case with prejudice on the first day of trial, without any award or other recovery to which the lien would attach. See BC423736 Minute Order, 11/18/2013 (Kaplan RJN, Exhibit (6). And without an allegation that Exley had any "recovery" in his divorce case, either generally or specifically with respect to the Two Heads painting, Schenkel fails to state sufficient facts to show he has a lien over the funds that have been paid from the proceeds of the sale of the Two Heads painting that have been paid - by court order - to the Kaplan firm. Schenkel may attempt to .cure this defect by amendment, within 10 days.

(7/1/2014 Order at p. 9.) The court also held that allegations related to conversion and intentional interference failed for the additional reason that the Cross-Complaint failed to allege facts to support the conclusion that Kaplan's taking of the funds was wrongful, against a judicially noticed order indicating the funds were disbursed pursuant to court-approved stipulation. (7/1/2014 Order at p. 10.)

Schenkel has since filed the FAXC, which now includes an allegation that Exley was held to own the subject painting or have an interest therein, for which the sale yielded proceeds constituting a "recovery" for the purposes of Schenkel's lien. (FAXC at p. 10.) The FAXC further includes allegations that, although the funds from the sale of the painting were ordered disbursed by stipulation and order of the court, this stipulation was obtained in violation of the court's prior order that any such stipulation be served upon Schenkel at least 14 days before its entry with the court. (FAXC at p. 14.)

These amendments suffice to preserve Schenkel's claims against the present demurrer. Although Kaplan offers for judicial notice a judgment of dissolution in the prior action not including the painting at issue (Kaplan RJN Exh. 1), the "fee order" referenced in the FAXC was entered prior to judgment, as evidenced in Schenkel's own request for judicial notice. Pursuant to said stipulation and order, Exley and his ex-spouse agreed to "take a distribution of some of the funds received from the proceeds of auction sale of the painting titled 'Two Heads' by David Park." (Schenkel RJN Exh. 10.) Such a distribution from the sale of the painting, included in Exley's marital estate, constituted a recovery within the pleaded meaning of the Schenkel's attorney lien:

Client hereby gives Firm a lien for all unpaid legal fees, costs and other sums at any time due to Firm from Client, such lien to be on all claims, causes of action and rights to money or property within the subject matter of Firm's past, present and/or future representation of Client. Firm's lien shall attach to any and all recoveries Client may obtain, whether by settlement, arbitration award, jury verdict, court judgment or otherwise, and to all rights Client may have to obtain any money or property in relation to any such representation, including but not limited to awards of sanctions. The purpose of such lien is to secure payment to Firm of all fees, costs and other sums at any time due to Firm from Client. Such lien is and shall be on, and does and shall attach to, (a) all sums at any time recovered by Client on any of Client's aforementioned claims, causes of action and rights to money or property and (b) all such claims, causes of action and rights to money or property themselves."

(FAXC at p. 10.) Kaplan fails to articulate why the distribution of the proceeds from the sale of a marital asset to Exley does not constitute a "recovery" within this meaning, merely because Exley himself stipulated that they be paid to counsel other than Schenkel.

Kaplan argues once more that there are no allegations supporting that the taking of the funds was "wrongful." (Demurrer at pp. 4–7.) However, wrongfulness is not an independent element of conversion. "Conversion is a strict liability tort. The foundation of the action rests neither in the knowledge nor the intent of the defendant. Instead, the tort consists in the breach of an absolute duty; the act of conversion itself is tortious. Therefore, questions of the defendant's good faith, lack of knowledge, and motive are ordinarily immaterial." (Welco Electronics, Inc. v. Mora (2014) 223 Cal.App.4th 202, 208.)

Moreover, as to intentional interference with contract, “[w]rongfulness independent of the inducement to breach the contract is not an element of the tort.” (Scripps Clinic v. Superior Court (2003) 108 Cal.App.4th 917, 929.)

Kaplan’s argument on this point is thus less that Schenkel has failed to allege a key element of the claims than that the underlying order of distribution of the sales proceeds constitutes an affirmative defense to the claims. But Defendant fails to cite authority for this proposition, which after all concerned an uncontested stipulation of Exley and his ex-spouse, not a tried matter in which Schenkel’s interests were represented. What’s more, the FAXC includes allegations that in submitting the stipulation to the court, Kaplan and Exley failed to raise the existence of Schenkel’s attorney lien, and furthermore violated a prior court order directing that all such agreements or stipulations concerning fees be served upon Schenkel two weeks before their submission to the court. (FAXC at p. 17.) Thus the allegations militate against application of any such affirmative defense here.

The demurrer is therefore OVERRULED.

MOTION FOR SUBSTITUTION OF PLAINTIFFS

“[A] cause of action for or against a person is not lost by reason of the person's death, but survives subject to the applicable limitations period.” (Code Civ. Proc. 377.20, subd. (a).) “On motion after the death of a person who commenced an action or proceeding, the court shall allow a pending action or proceeding that does not abate to be continued by the decedent's personal representative or, if none, by the decedent's successor in interest.” (Code Civ. Proc. § 377.31.)

“On motion, the court shall allow a pending action or proceeding against the decedent that does not abate to be continued against the decedent's personal representative or, to the extent provided by statute, against the decedent's successor in interest, except that the court may not permit an action or proceeding to be continued against the personal representative unless proof of compliance with Part 4 (commencing with Section 9000) of Division 7 of the Probate Code governing creditor claims is first made.” (Code Civ. Proc., § 377.41.)

Keenan Brown here presents a declaration and evidence in the form of court orders demonstrating that he has been appointed the personal representative of the decedent Plaintiff Ray. W. Exley. (Brown Decl. ¶¶ 3–6, Exhs. A–C.)

Brown has demonstrated entitlement to substitution in this action for the purposes of prosecuting Decedent’s claims against other parties. “On motion after the death of a person who commenced an action or proceeding, the court shall allow a pending action or proceeding that does not abate to be continued by the decedent's personal representative or, if none, by the decedent's successor in interest.” (Code Civ. Proc., § 377.31.) Having shown that he is Decedent’s personal representative, Brown may be substituted in as the plaintiff.

However, Brown cannot be substituted in to defend the claims asserted against Decedent by others. This is because Brown has not presented “proof of compliance with Part 4 (commencing with Section 9000) of Division 7 of the Probate Code governing creditor claims,” as required by Code of Civil Procedure § 377.41. Further elaboration as to what such proof requires comes from the Probate Code as follows:

(a) An action or proceeding pending against the decedent at the time of death may not be continued against the decedent's personal representative unless all of the following conditions are satisfied:

(1) A claim is first filed as provided in this part.

(2) The claim is rejected in whole or in part.

(3) Within three months after the notice of rejection is given, the plaintiff applies to the court in which the action or proceeding is pending for an order to substitute the personal representative in the action or proceeding. This paragraph applies only if the notice of rejection contains a statement that the plaintiff has three months within which to apply for an order for substitution.

(b) No recovery shall be allowed in the action against property in the decedent's estate unless proof is made of compliance with this section.

(Prob. Code, § 9370.)

Decedent is both a plaintiff and cross-defendant in this action, against whom other parties seek a monetary recovery. Per the above statutory requirements, the personal representative cannot be substituted in as a defendant, and the prosecution of the claims against Decedent cannot continue, until the claimant makes a claim on the personal representative under the Probate Code, and said claim is rejected. The present motion does not discuss the above requirements or present proof of compliance with the Probate Code.

Since hearing was had on this motion on April 6, 2026, the matter was continued to permit the parties to file a joint report containing the procedural history of this case and the parties' respective positions. On June 12, 2026, Schenkel and Lewitt, Hackman, Shapiro, Marshall, & Harlan ("LHSMH") filed petitions to substitute Brown as a cross-defendant on their claims, based on the rejection of their probate claims under Probate Code § 9370. Thee petitions are set for hearing on August 4, 2026, and October 10, 2026. The parties in their joint report agree that "thee motions are required by Probate Code § 9370 notwithstanding Brown's motion." (Joint Report ¶ 20.)

Accordingly, the motion is GRANTED in part, and Brown is substituted in to prosecute Decedent's claims as Plaintiff. The motion is DENIED as to Brown's substitution as Cross-Defendant, without prejudice to the pending motions filed by Schenkel and LHSMH on the same subject.

MOTION TO SET ASIDE DEFAULT

Plaintiff and Decedent Ray. W. Exley (Decedent) filed this action on February 10, 2012, which was subject to cross-complaint by Defendants Evan Schenkel and Lewitt Hackman Shapiro Marshall & Harlan (Defendants). After Decedent died in June 2020, his wife, Juliana Loza-Exley (Loza-Exley) filed two motions to be appointed successor in interest under Code of Civil Procedure § 377.31, which this court denied on August 11, 2021, and July 27, 2023, reasoning that Loza-Exley had not complied with Code of Civil Procedure § 377.32, as Decedent's estate was being administered in California and Loza-Exley's petitions to appoint a special administrator for Decedent's claims had been denied. With the denial of the second petition, default was entered against Decedent. The California probate proceeding remains ongoing.

The present motion is brought by Michael Millward, a stranger to the action yet represented by Loza-Exley's counsel (Kaplan, Kenegos & Kadin) and supported by a declaration from Loza-Exley. Millward argues that as of October 17, 2023, he was appointed the administrator of Decedent's estate in the Nevada proceeding. (Motion Exhs. 2, 3.) At that time, this matter was stayed pursuant to Loza-Exley's bankruptcy from September 5, 2023 through May 30, 2024.

The present motion was originally heard on October 11, 2024. In its ruling, the court found Millward's arguments for equitable relief largely persuasive, as no judgment had yet been entered, and the reason for default was that no personal representative or administrator had been appointed for the estate. But because Millward had not yet been substituted in for Decedent in this action, the court continued the hearing on the motion to permit him to file an application for such substitution.

Such an application has since been filed — but not by Millward. It has instead been filed by Keenan Brown, who presents court orders demonstrating his appointment as Decedent's personal representative and the letters of administration therefore. Moreover, as discussed in relation to Brown's motion to be substituted in, Brown has not yet made the requisite showing of compliance with the Probate Code necessary to obtain appointment for the purpose of defending claims asserted against Decedent, which would include the present motion seeking relief from default. Such determination now awaits resolution of the pending applications of Schenkel and LHSMH.

In his portion of the Joint Report filed on July 10, 2026, Brown indicates that he intends to adopt the Milward motion to vacate default as his own, at least with respect to the relief requested, the grounds therefore, and proposed answer. (Joint Report at p. 36.) Alternatively, if the motion is denied, Brown intends to file his own motion. (Ibid.)

Because Brown essentially adopts the arguments and requested relief of the present motion, and to avoid extraneous motion practice, it is proper to continue the hearing on the present motion to be heard concurrently with Schenkel and LHSMH's petitions to substitute Brown as a cross-defendant in this action, which would permit the granting of the proposed relief from default concurrently with any substitution ordered upon those motions.

Accordingly, the motion for relief from default is CONTINUED to be heard concurrently with Schenkel's and LHSMH's pending motions to substitute Brown as cross-defendant.

Superior Court of California

County of Los Angeles

Department 732

RAY W. EXLEY, M.D.,

Plaintiff,

v.

BARRY HARLAN, et al.,

Defendants.

Case No.: BC478744

Hearing Date: July 22, 2026

[TENTATIVE] RULING RE:

Cross-Defendant Kaplan Kenegos and Kadin's Demurrer to the First Amended Cross-Complaint of Evan B. Schenkel, a Professional Law Corporation

Keenan Brown's Motion to be Substituted for Decedent Ray W. Exley

Michael Millward, Administrator of the Estate of Plaintiff and Cross-Defendant Ray W. Exley's Motion to Set Aside Default.

Cross-Defendant Kaplan Kenegos and Kadin's Demurrer to the First Amended Cross-Complaint of Evan B. Schenkel, a Professional Law Corporation is OVERRULED.

Keenan Brown's Motion to be Substituted for Decedent Ray W. Exley is GRANTED in part, and Brown may be substituted in to prosecute Decedent's claims as Plaintiff. The motion is DENIED as to Brown's substitution as Defendant and Cross-Defendant, without prejudice to the pending motions filed by Schenkel and LHSMH on the same subject.

Michael Millward, Administrator of the Estate of Plaintiff and Cross-Defendant Ray W. Exley's Motion to Set Aside Default is CONTINUED to be heard concurrently with Schenkel's and LHSMH's pending motions to substitute Brown as cross-defendant.

Plaintiff to provide notice.

Dated: July 22, 2026

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Hon. Richard S. Kemalyan

Judge of the Superior Court